KO 1 3.3.1 | Marketing Objectives

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

WHAT AQA LISTS

Sales volume - the number of units sold.

Sales value - the revenue from those sales.

Market size - total sales of all businesses in the market, by volume or value.

Market growth and sales growth - the % change in the size of the market, or in the business's own sales.

Market share - the business's sales as a % of total market sales.

Brand loyalty - customers choosing to buy the brand again and again.

WHY SET MARKETING OBJECTIVES?

They give the marketing department a clear target and a way of measuring whether its activities have worked.

They help decide how the marketing budget is spent and which parts of the marketing mix to change.

They should come from the corporate objectives, e.g. a corporate objective of growth might become a target for market share.

INFLUENCES ON MARKETING OBJECTIVES

Corporate objectives and the finance available.

Market conditions and competition - is the market growing or shrinking, and how are rivals behaving?

The position of products in their life cycle.

Technology, e.g. the growth of online sales.

Ethical and environmental influences.

CHOOSING THE RIGHT MEASURE

Volume and value can move in different directions. A price cut can raise volume while value falls.

A business can increase its sales but lose market share if the market is growing faster than it is.

Brand loyalty is a long-term objective. It can allow higher prices and lower marketing costs per sale.

EXAM TRAP

Don't treat sales volume and sales value as the same thing. Read whether the question or data is in units or in £.

ANALYSIS CHAIN

Objective to raise market share → spending shifted to promotion and distribution → more customers try the product → share rises, but margins may fall if price cuts are used.

TOP GRADE CONNECTION

An objective is only useful if it fits the market. In a shrinking market, holding share may be a good result; in a fast-growing market, a 5% rise in sales may actually be a loss of share.

KO 2 3.3.2 | Market Research & Sampling

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

PRIMARY AND SECONDARY RESEARCH

Primary - new data collected for a specific purpose, e.g. surveys, interviews, focus groups, observation, test marketing. Up to date and specific to the business, but costly and slow.

Secondary - data that already exists, e.g. government statistics, market reports, competitors' accounts, the firm's own sales records. Cheap and quick, but may be out of date or not quite fit the question.

QUANTITATIVE AND QUALITATIVE DATA

Quantitative - numerical data, e.g. 62% of customers would buy at £5. Easy to analyse and compare, but does not explain why.

Qualitative - opinions, feelings and reasons, e.g. from a focus group. Explains customer behaviour but is harder to analyse and may not be representative.

Most businesses use both.

SAMPLING METHODS

Random - everyone in the population has an equal chance of being chosen. Avoids interviewer bias but needs a full list of the population.

Stratified - the population is split into groups and a random sample is taken from each, in proportion. More representative, but needs more information.

Quota - the researcher must find a set number of people with certain characteristics. Quick and cheap, but the choice of who to ask can be biased.

THE VALUE OF SAMPLING

A business cannot ask everyone, so a sample saves time and money.

The results are only useful if the sample is large enough and representative of the target market.

A bigger sample is usually more reliable but costs more. The right balance depends on how much is at stake in the decision.

EXAM TRAP

Don't say primary research is always better. It is only better if it is well designed, well sampled and worth the cost and time.

ANALYSIS CHAIN

Representative sample → findings reflect what the target market actually wants → product and price set correctly → fewer costly launch mistakes → lower risk.

TOP GRADE CONNECTION

Judge research by whether it reduces the risk of the decision enough to justify its cost. A small firm with a tight budget may sensibly rely on secondary data and a quick quota sample.

KO 3 3.3.2 | Market Data

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

CALCULATIONS

Market growth (%) = change in market size ÷ original market size × 100

Sales growth (%) = change in sales ÷ original sales × 100

Market share (%) = sales of one product, brand or business ÷ total sales in the market × 100

Market size = total sales of all businesses in the market (by volume or value).

WORKED EXAMPLE

A market grows from £40m to £46m. A firm's sales rise from £5m to £5.52m.

Market growth = £6m ÷ £40m × 100 = 15%

Sales growth = £0.52m ÷ £5m × 100 = 10.4%

Market share falls from 12.5% (£5m ÷ £40m) to 12% (£5.52m ÷ £46m).

CORRELATION AND EXTRAPOLATION

Correlation - a relationship between two variables. Positive: both rise together (e.g. advertising and sales). Negative: one rises as the other falls (e.g. price and sales). It can be strong or weak.

Correlation does not prove that one thing causes the other.

Extrapolation - extending a past trend into the future to forecast. It works only if conditions stay similar.

CONFIDENCE INTERVALS

A range within which the true figure is likely to lie, at a stated level of confidence.

E.g. research finds 40% of customers would buy, with a 95% confidence interval of 37% to 43%. The business can be 95% confident the true figure is in that range.

A narrower interval gives more precise results. Larger samples narrow the interval.

EXAM TRAP

Rising sales does not mean rising market share. If the market grows faster than the business, its share falls - as in the worked example.

ANALYSIS CHAIN

Strong positive correlation between advertising and sales → more advertising is likely to raise sales → but other factors may explain the link → test before increasing the budget.

TOP GRADE CONNECTION

Data is only as good as the conditions behind it. Extrapolation from a stable market is reasonable; in a market hit by new technology or a recession it can badly mislead.

KO 4 3.3.2 | Price & Income Elasticity of Demand

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

PRICE ELASTICITY (PED)

Measures how much quantity demanded responds to a change in price.

Price elastic (above 1, ignoring the minus sign) - demand changes by a bigger % than the price.

Price inelastic (below 1) - demand changes by a smaller % than the price.

PED is normally negative because price and quantity move in opposite directions.

You need to interpret PED, not calculate it.

PED AND REVENUE

Inelastic - a price rise increases revenue; a price cut reduces it.

Elastic - a price cut increases revenue; a price rise reduces it.

Example - PED is -0.4 and price rises 10%. Quantity falls by 4% (10 × 0.4), so revenue rises.

Influences on PED: number of substitutes, brand loyalty, whether the product is a necessity, and the share of income spent on it.

INCOME ELASTICITY (YED)

Measures how much quantity demanded responds to a change in income.

Positive YED - a normal good: demand rises as income rises. Above 1, demand rises faster than income (often luxuries such as holidays).

Negative YED - an inferior good: demand falls as income rises, e.g. budget own-label food.

Example - YED is -0.5 and incomes rise 4%. Quantity demanded falls by 2%.

VALUE TO MARKETING MANAGERS

PED helps set prices and predict the effect of a price change on revenue.

YED helps forecast sales when the economy grows or slows, and plan production and staffing.

Limitations: values are estimates based on past data, they change over time and competitors' actions can change them.

EXAM TRAP

Inferior goods have negative YED, so demand falls when incomes rise. Inelastic does not mean demand doesn't change - it changes by a smaller % than price.

ANALYSIS CHAIN

PED is inelastic → price rise causes a proportionately smaller fall in quantity → revenue rises → profit rises, provided costs do not rise faster.

TOP GRADE CONNECTION

Elasticity is not fixed. Strong branding can make demand less price elastic, while new competitors can make it more elastic. Ask how reliable the estimate is and how long it will last.

KO 5 3.3.3 | Segmentation, Targeting & Positioning

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

SEGMENTATION

Dividing a market into groups of customers with similar characteristics or needs.

Demographic - age, gender, family size.

Geographic - where customers live.

Income - how much customers earn.

Behavioural - how customers use or buy the product, e.g. loyalty, usage rate, occasion.

TARGETING

Choosing which segment(s) to aim at.

Niche marketing - a small, specialised segment. Less competition and higher prices possible, but limited sales and risky if the segment shrinks.

Mass marketing - the whole market with one approach. High volume and economies of scale, but strong competition and price pressure.

Influences: size and growth of the segment, competition, the firm's resources and objectives.

POSITIONING

How the business wants customers to see its product compared with competitors.

Influences: what the target market values, rivals' positions, the firm's strengths and costs.

The value of STP: a clearer target means a better matched marketing mix and less wasted marketing spend.

MARKET MAPPING

Plots brands on two axes that matter to customers, e.g. price and quality. It can show gaps and clusters of competitors.



EXAM TRAP

Segmentation is not just describing customers. Use the four methods AQA lists - demographic, geographic, income and behavioural - and explain how the chosen segment changes the marketing mix.

ANALYSIS CHAIN

Market map shows a gap at a lower price with high quality → business positions a new product there → less direct competition → higher sales, provided it can be made at a cost that still leaves a margin.

TOP GRADE CONNECTION

A gap on a market map is not automatically an opportunity - there may be no demand there. The value of STP depends on how accurately the business understands its customers.

KO 6 3.3.4 | The 7Ps & an Integrated Mix

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

THE 7PS

Product - features, quality, design, brand.

Price - level and pricing strategy.

Promotion - how customers are told about and persuaded to buy the product.

Place - how and where it reaches customers.

People - staff who deal with customers.

Process - the systems customers go through, e.g. ordering, delivery, returns.

Physical environment - what customers see and experience, e.g. store layout, website design.

CONSUMER AND INDUSTRIAL PRODUCTS

The mix applies to goods and services sold to consumers (B2C) and to other businesses (B2B).

Industrial buyers are often professional buyers making large, planned purchases. People (sales staff), reliability and after-sales service can matter more than advertising.

People, process and physical environment are especially important for services.

AN INTEGRATED MIX

All elements of the mix support each other and send the same message. A premium price needs high quality, selective distribution and promotion that builds the brand.

If one element does not fit - e.g. a luxury brand sold through discount stores - customers become confused and the brand is damaged.

INFLUENCES ON AN INTEGRATED MIX

AQA lists: position in the product life cycle; position in the Boston Matrix; product type; marketing objectives; target market; competition; positioning.

Changing one element changes the effect of the others, so decisions should be made together.

EXAM TRAP

Don't use only the 4Ps for a service or B2B question. People, process and physical environment are often where marks come from.

ANALYSIS CHAIN

Staff trained to give expert advice (people) → customers trust the business → more willing to pay a premium price → higher margins → mix supports premium positioning.

TOP GRADE CONNECTION

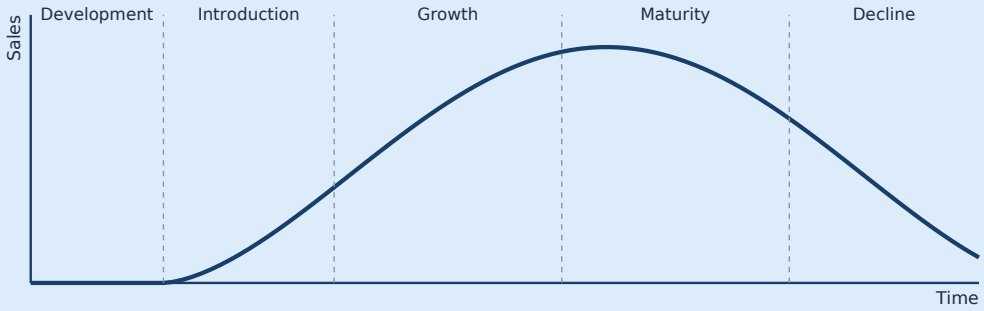
The best mix is the one that fits the target market and the objective. Judge which element matters most in the case, rather than describing all seven.

KO 7 3.3.4 | Product: Life Cycle, Extension & NPD

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

PRODUCT LIFE CYCLE

Development → introduction → growth → maturity → decline. Sales and profit change at each stage.



CASH FLOW AND THE STAGES

Development and introduction - high spending, few sales, negative cash flow.

Growth - sales rising, competitors arriving, cash flow improving.

Maturity - sales peak, strong cash flow, competition fierce.

Decline - sales and profit fall. The business may withdraw the product or extend its life.

EXTENSION STRATEGIES

Ways of lengthening the maturity stage or delaying decline: new uses, new markets, changes to packaging or design, new versions, price changes, new promotion.

Worth doing only if the cost is less than the extra contribution earned, and if the reason for falling sales can be fixed.

NEW PRODUCT DEVELOPMENT

Value - replaces products in decline, keeps the portfolio balanced, can create a competitive advantage.

Influences - cost of R&D, competitors' activity, technology, customer needs, the finance available.

Many new products fail, so NPD is expensive and risky.

EXAM TRAP

The life cycle is a model, not a timetable. You can't predict exactly when a product will move from one stage to the next.

ANALYSIS CHAIN

Product reaches maturity → extension strategy (new version) → renewed customer interest → sales and cash flow continue → funds available for new product development.

TOP GRADE CONNECTION

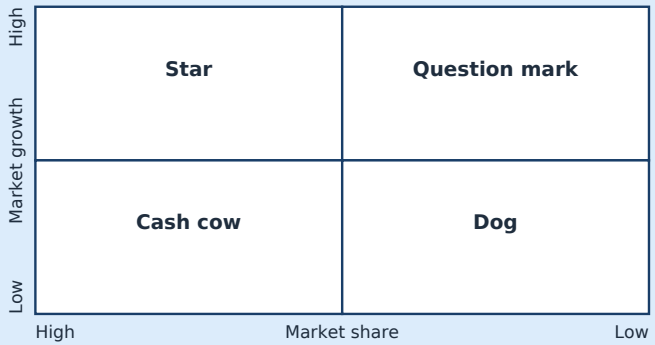
Decline may be caused by the business's own decisions, e.g. less promotion. Judge whether to extend or drop a product by comparing the cost of extending it with the cash it is likely to generate.

KO 8 3.3.4 | Product: Portfolio Analysis

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

THE BOSTON MATRIX

Places each product by market share and market growth.



THE FOUR CATEGORIES

Star - high share, high growth. Earns a lot but needs investment to keep its position.

Cash cow - high share, low growth. Generates cash with little investment.

Question mark (problem child) - low share, high growth. Needs investment; could become a star or fail.

Dog - low share, low growth. Usually a weak cash generator.

USING IT

Cash from cash cows can be used to support question marks and stars.

A balanced portfolio has products at different stages, so the business is not relying on one product.

It links to the product life cycle: question marks are often new products, cash cows are mature ones.

LIMITATIONS

It is a snapshot at one point in time.

Defining the market and measuring share can be difficult.

A dog can still be profitable or support other products. Market share is not the only cause of success.

EXAM TRAP

Don't automatically recommend dropping every dog. It may still make a positive contribution or have a loyal group of customers.

ANALYSIS CHAIN

Cash cow generates strong cash flow → funds promotion of a question mark → question mark gains share → becomes a star → portfolio stays balanced as the cash cow declines.

TOP GRADE CONNECTION

The matrix suggests questions rather than answers. Decide on each product using the case: its contribution, its prospects and what else the business could do with the money.

KO 9 3.3.4 | Price

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

PENETRATION PRICING

A low price is set to gain market share quickly, then raised later.

Suits markets where demand is price elastic and where high volume brings economies of scale.

Risks: low margins at first, customers may resist later price rises, and a price war is possible.

PRICE SKIMMING

A high price is set at launch, then lowered over time.

Suits new, innovative products with few competitors, where early buyers will pay a premium.

Helps recover development costs quickly, but high margins attract competitors.

INFLUENCES ON PRICING DECISIONS

Price elasticity of demand and the target market.

Costs - the price must cover costs in the long run.

Competitors' prices and the level of competition.

Marketing objectives and positioning.

The stage of the product life cycle and the rest of the marketing mix.

DYNAMIC PRICING

Technology allows prices to change quickly in response to demand, time or customer data, e.g. airline seats, taxi apps, hotel rooms.

Can raise revenue and fill spare capacity, but customers may see it as unfair - an ethical issue.

EXAM TRAP

Penetration and skimming are about what happens over time - one starts low, the other starts high. A price cut does not automatically raise revenue or profit; it depends on PED and costs.

ANALYSIS CHAIN

Skimming at launch → high margin from early buyers → development costs recovered quickly → cash available for marketing, though rivals are attracted by the high margins.

TOP GRADE CONNECTION

The right price depends on the whole mix and the product's position. Penetration pricing would undermine a premium brand, however quickly it might build share.

KO 10 3.3.4 | Promotion

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

THE PROMOTIONAL MIX

The combination of methods used to tell customers about a product and persuade them to buy, e.g. advertising, sales promotion, public relations, personal selling, social media.

The right mix depends on the target market, the budget, the product, its stage in the life cycle and what competitors do.

BRANDING

A brand is a name, design or image that makes a product recognisable and different from rivals.

Strong brands build loyalty, make demand less price elastic and support premium prices and new product launches.

Building a brand takes time and money, and a brand can be damaged quickly by bad publicity.

SOCIAL MEDIA

Allows targeted promotion at relatively low cost and two-way communication with customers.

Results can be measured, e.g. clicks, shares and conversions.

Negative comments spread quickly and the business has less control over the message.

VIRAL MARKETING

Content that customers share with each other, spreading the message rapidly at little cost to the business.

Can reach huge numbers quickly, but it is hard to predict what will go viral, and the message can be changed or mocked as it spreads.

EXAM TRAP

Social media and viral marketing are not free. Content still costs time and money to produce, and reach does not guarantee sales.

ANALYSIS CHAIN

Strong brand built through consistent promotion → customers trust the product → less price sensitive → business can charge a premium → higher margins.

TOP GRADE CONNECTION

Judge promotion against what it is meant to achieve. A viral campaign may build awareness quickly but do little for loyalty; for an industrial product, personal contact may matter more than either.

KO 11 3.3.4 | Place, People, Process & Physical Environment

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

DISTRIBUTION (PLACE)

How the product gets to the customer, either directly or through intermediaries such as wholesalers and retailers.

Influences: the type of product, the target market, cost, the level of control the producer wants and what rivals do.

MULTI-CHANNEL DISTRIBUTION

Using more than one channel, e.g. own stores, website, app and other retailers.

Reaches more customers and lets them buy in the way that suits them.

Harder to manage: stock must be coordinated across channels, prices and service must be consistent, and channels can compete with each other.

PEOPLE AND PROCESS

People - staff knowledge, attitude and appearance affect how customers see the product, especially for services.

Process - how easy it is to buy, receive and return the product, e.g. ordering systems, waiting times, delivery tracking.

Good people and process can be hard for competitors to copy.

PHYSICAL ENVIRONMENT

What customers see, hear and experience when buying - store layout, décor, cleanliness, website design, packaging.

It gives evidence of quality, which matters most for services that can't be seen before they are bought.

EXAM TRAP

Place is not just the location of a shop. It covers every channel through which customers get the product, including online.

ANALYSIS CHAIN

Adding an online channel → customers can buy at any time → sales rise → but delivery and returns costs rise → profit improves only if the extra contribution covers these costs.

TOP GRADE CONNECTION

The extended mix is often where a business gains an advantage rivals can't easily copy. Judge which element matters most for the product in the case.

KO 12 3.3.4 | Digital Marketing & E-commerce

AQA A-LEVEL BUSINESS 7132 - UNIT 3.3 MARKETING MANAGEMENT

DIGITAL MARKETING

Marketing through digital channels such as websites, search engines, social media, email and apps.

Allows precise targeting using customer data, quick changes to campaigns and accurate measurement of results.

E-COMMERCE

Buying and selling online.

Value - access to a wider or international market, open all the time, lower premises costs, customer data collected automatically.

Drawbacks - strong price competition, delivery and returns costs, the need for secure, reliable systems.

RELATIONSHIP MARKETING

Building long-term relationships with customers rather than focusing on single sales, e.g. loyalty schemes, personalised offers, good after-sales service.

Keeping customers is usually cheaper than winning new ones, and loyal customers tend to spend more.

ETHICAL AND ENVIRONMENTAL INFLUENCES

Use of customer data and privacy.

Honest advertising and responsible targeting, especially of children.

Environmental claims, packaging and delivery miles.

Acting ethically may raise costs but can protect reputation and build trust.

EXAM TRAP

E-commerce is not always cheaper than a shop. Delivery, returns, website development and online advertising can be significant costs.

ANALYSIS CHAIN

Customer data from online sales → personalised offers → customers feel the brand understands them → repeat purchases rise → higher lifetime value per customer.

TOP GRADE CONNECTION

Technology only gives an advantage if the business uses it better than rivals and keeps customers' trust. Easy-to-copy digital tactics rarely give a lasting edge.